3.1 Introduction



Student activity 3.1

Think: Ramu is a successful sole trader. His business has been progressing steadily for the past 10 years. Now, he finds it difficult to manage the business all alone. His friend wants to join his business and likes to have equal status as Ramu has. But, Ramu does not want to give up his ownership and control over the business. Is it possible for Ramu to accept his friend's willingness to join him without losing his ownership and control over his business?

Partnership firm is a form of organisation where two or more persons carry on some business activity on the basis of agreement among them. The persons who have agreed to carry on the partnership business are individually called 'partners' and collectively called as 'firm'. The name under which the business of a firm is carried on is called the 'firm name'. In the case of partnership, the purpose of many persons joining together may be to raise more capital, to pool expertise, to share responsibilities and liabilities, etc. Thus, to overcome the limitations of sole proprietorship such as limited capital, small size of business, etc, partnership firms are formed. The profit or loss arising from the partnership business is shared by the partners in the agreed ratio.

In India, partnership firms are governed by the Indian Partnership Act, 1932. Registration of partnership firm is not compulsory. It is optional. However, it is safer for the partnership firms to get registered so that the partners can avail the benefits of registration.

3.2 Meaning, definition and features of partnership

3.2.1 Meaning and definition of partnership

When two or more persons join together to form a business to share the profit or loss arising therefrom in an agreed ratio, the relationship among them is called partnership. The business may be carried on by all or any of them acting for all.

According to Section 4 of the Indian Partnership Act, 1932, partnership is defined as, "the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all".

3.2.2 Features of partnership

Following are the essential features of partnership:

1. Partnership is an association of two or more persons. The maximum number of partners is limited to 50.
2. There should be an agreement among the persons to share the profit or loss of the business. The agreement may be oral or written or implied.
3. The agreement must be to carry on a business and to share the profits of the business.
4. The business may be carried on by all the partners or any of them acting for all.

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